

H-BANK UNDERWRITING POLICY

INTERNAL CREDIT GUIDELINES & MORTGAGE STANDARDS • VERSION 2026.1

1. Executive Summary & Scope

This document establishes the official credit underwriting guidelines and risk evaluation standards for H-Bank (hereinafter "the Bank") effective as of July 2026. These regulations govern the qualification, evaluation, and approval of personal credit facilities, including residential mortgages and unsecured consumer loans. All automated scoring algorithms, AI agents (under the *Azure AI Foundry Framework*), and manual credit officers must strictly adhere to these thresholds to maintain institutional risk mitigation protocols.

2. Key Underwriting Ratios & Formulae

To qualify for any credit product, applicants must satisfy two core risk ratios: Debt-to-Income (DTI) and Loan-to-Value (LTV).

2.1 Debt-to-Income (DTI) Limit

The total monthly debt service, including the proposed new credit payment, must not exceed the maximum allowable DTI percentage of the applicant's verified net monthly income. The absolute maximum DTI allowed is **40%**. For applicants with credit scores below 640, the limit is strictly lowered to **30%**.

$$DTI = (Monthly\ Existing\ Debts + Proposed\ New\ Payment) / Net\ Monthly\ Income \times 100\%$$

2.2 Loan-to-Value (LTV) Limits

LTV determines the maximum exposure relative to the appraised property value. Higher LTV ratios are subject to stricter interest rate premiums.

- **First-Time Homebuyers:** Maximum **75%** LTV. Requires a minimum **25%** down payment.
- **Secondary/Investment Properties:** Maximum **70%** LTV. Requires a minimum **30%** down payment.

$$LTV = (Requested\ Loan\ Amount / Appraised\ Property\ Value) \times 100\%$$

3. Credit Scoring Matrix & Interest Rates

The Bank uses an internalized Credit Score system ranging from 300 to 850. An applicant's rating directly affects the interest rate markup and maximum available exposure.

Credit Score Tier	Classification	Action / Eligibility	Base Interest Rate Modifier	Max Unsecured Loan (₪)
740 – 850	Excellent	Auto-Approval Eligible (Low Risk)	Prime - 0.50%	150,000
680 – 739	Good	Standard Approval (Normal Risk)	Prime + 0.25%	100,000
620 – 679	Fair	Manual Underwriting/Enhanced Audit Required	Prime + 1.50%	50,000
300 – 619	Poor	Decline (Unacceptable Risk Profile)	N/A (Ineligible)	0

4. Employment & Income Verification Rules

All income must be verified via third-party official sources. The rules vary by applicant employment type:

4.1 Salaried Employees

- Must provide the last 3 months of consecutive paystips.
- Minimum of 12 months with the current employer is standard.
- **High-Tech Exception:** For recognized high-tech professionals (e.g., Software Engineers, Data Architects), the minimum employment tenure is relaxed to 3 months, provided their net monthly income exceeds 20,000 ₪.

4.2 Self-Employed & Business Owners

- Must provide audited tax assessments for the past 2 fiscal years.
- Must demonstrate stable or growing annual net income. Declines in net profits exceeding **15%** year-over-year trigger automatic manual escalations.

CRITICAL SAFETY NOTE: Under no circumstances can a credit decision be approved if the applicant has active open bank accounts in restrictive legal/bankruptcy proceedings, regardless of current income or credit score.